



Bill Number: H.B. 2693

Mesnard Floor Amendment

Reference to: FINANCE Committee amendment

Amendment drafted by: Molly Graver

FLOOR AMENDMENT EXPLANATION

- Specifies that the requirement for the Arizona Department of Administration to conduct a feasibility study on the state employee and public school district employee health insurance plans in Arizona is subject to available monies.

MESNARD FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2693
(Reference to FINANCE Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{Orange lowercase underlining in double curly brackets} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~{ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.
~~{Orange lowercase strikeout in double curly brackets}~~ indicates that the amendment to an amendment is removing text from existing statute, previously enacted session law or new session law.
≤≤Double orange underlined carets enclosing an entire section≥≥ indicate that the amendment to an amendment is adding the section to the bill.
~~≤≤Orange strikeout with double orange underlined carets enclosing an entire section≥≥~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 20-2324, Arizona Revised Statutes, is amended to
3 read:

4 20-2324. Bona fide associations; definitions

5 A. An association qualifies as a ~~path~~¹ bona fide association if
6 the association EITHER:

7 1. Meets the following requirements:

8 ~~1.~~ (a) Has been formed and maintained in good faith for purposes
9 other than obtaining insurance and does not condition membership in the
10 association on the purchase of insurance that is sponsored by the
11 association.

12 ~~2.~~ (b) Has a constitution and bylaws.

13 ~~3.~~ (c) Insures at least twenty-five members, employees or
14 employees of members of the association for the benefit of persons other
15 than the association or its officers or trustees.

1 ~~4.~~ (d) Does not condition membership in the association on any
2 health status-related factor relating to an individual, including an
3 employee of an employer or a dependent of an employee, and clearly states
4 this in all membership and application materials.

5 ~~5.~~ (e) Makes health benefits plans offered through the association
6 available to all members regardless of any health status-related factor
7 relating to any member of the association or individual eligible for
8 coverage through a member and clearly states this in all membership and
9 application materials.

10 ~~6.~~ (f) Does not make health benefits plans offered through the
11 association available other than in connection with a member of the
12 association and clearly states this in all membership and application
13 materials.

14 ~~B. 2. An association qualifies as a path 2 bona fide association~~
15 ~~if the association~~ Meets the requirements of ~~29 Code of Federal~~
16 ~~Regulations section 2510.3-5~~ AN EMPLOYER AS DEFINED IN THE EMPLOYEE
17 RETIREMENT INCOME SECURITY ACT OF 1974 (P.L. 93-406; 88 STAT. 829; 29
18 UNITED STATES CODE SECTION 1002). An insurer electing to offer health
19 benefits plans through a bona fide association to small employer groups of
20 one, which may include sole proprietors or working owners, is not required
21 to make health benefits plans available under section 20-2304, subsection
22 A to small employer groups of one if the small employer is not seeking a
23 health benefits plan through a bona fide association.

24 ~~C.~~ B. The requirements of section 20-2304, subsection A do not
25 apply to health benefits plans offered by an accountable health plan if
26 the accountable health plan makes this coverage available in the small
27 group market only through one or more ~~path 1~~ bona fide associations.

28 ~~D.~~ C. The department may survey insurers issuing health benefits
29 plans to determine the number of health benefits plans issued to bona fide
30 associations in this state each year.

31 ~~E.~~ D. This section does not limit or prohibit the ~~issuance~~
32 OPERATION of A self-funded ~~health benefits plans~~ MULTIPLE EMPLOYER WELFARE
33 ARRANGEMENT in this state through ANY OF THE FOLLOWING:

34 1. A bona fide association if the BONA FIDE association is
35 established and operating in compliance with applicable provisions of the
36 employee retirement income security act of 1974.

37 2. A STATEWIDE CHAMBER OF COMMERCE OR A STATEWIDE BUSINESS LEAGUE
38 THAT MEETS ALL OF THE FOLLOWING CRITERIA:

39 (a) THE STATEWIDE CHAMBER OF COMMERCE OR THE STATEWIDE BUSINESS
40 LEAGUE HAS A CONSTITUTION OR BYLAWS.

41 (b) THE STATEWIDE CHAMBER OF COMMERCE OR THE STATEWIDE BUSINESS
42 LEAGUE WAS ORGANIZED AND HAS BEEN MAINTAINED IN GOOD FAITH FOR A

1 CONTINUOUS FIVE-YEAR PERIOD FOR PURPOSES OTHER THAN PROVIDING FOR OR
2 OBTAINING INSURANCE.

3 (c) THE STATEWIDE CHAMBER OF COMMERCE OR STATEWIDE BUSINESS LEAGUE
4 IS EXEMPT FROM FEDERAL TAXATION PURSUANT TO SECTION 501(c)(6) OF THE
5 INTERNAL REVENUE CODE.

6 E. The department retains the authority to investigate whether an
7 association is unlawfully transacting insurance in violation of this
8 title.

9 F. For the purposes of subsection A, PARAGRAPH 1 of this section,
10 "employees" includes retired employees.

11 G. For the purposes of this section:

12 ~~1. "Bona fide association" includes path 1 bona fide associations~~
13 ~~and path 2 bona fide associations.~~

14 ~~2.~~ 1. "Small employer" includes, if an insurer elects to issue
15 coverage to small employer groups of one:

16 (a) For health benefits plans issued through a bona fide
17 association, an employer who employs at least one but not more than fifty
18 eligible employees on a typical business day during any one calendar year.

19 (b) For health benefits plans issued through a ~~path 2 bona fide~~
20 ~~association~~ STATEWIDE CHAMBER OF COMMERCE OR A STATEWIDE BUSINESS LEAGUE,
21 a sole proprietor or working owner.

22 ~~3.~~ 2. "Sole proprietor" means a person who is a working owner, who
23 owns a business and who does not operate the business using any type of
24 entity.

25 ~~4.~~ 3. "Working owner" means a person who a responsible plan
26 fiduciary reasonably determines is an individual who meets all of the
27 following requirements:

28 (a) Has an ownership right of any nature in a trade or business,
29 whether incorporated or unincorporated, including a partner and another
30 self-employed individual.

31 (b) Is earning wages or self-employment income from the trade or
32 business for providing personal services to the trade or business.

33 (c) Either:

34 (i) Works on average at least twenty hours per week or at least
35 eighty hours per month providing personal services to the trade or
36 business.

37 (ii) Has wages or self-employment income from the trade or business
38 that at least equals the working owner's cost of coverage for
39 participation by the working owner and any covered beneficiaries in the
40 group health plan sponsored by the association in which the individual is
41 participating.

42 <<Sec. 2. Department of Administration; health insurance
43 system study; report; delayed repeal; definition

1 [A. ~~{{Subject to available monies.}}~~ The department of
2 administration shall conduct a feasibility study on the state employee
3 health insurance plans and the public school districts employee health
4 insurance plans in this state.

5 B. The department of administration shall:

6 1. Review, analyze and consider relevant state and national data
7 for individual coverage health reimbursement arrangements that include:

8 (a) Coverage options.

9 (b) Costs.

10 (c) Utilization.

11 (d) Enrollment trends.

12 (e) Administrative impacts.

13 2. Ensure greater choice and flexibility for employees.

14 3. Create cost certainty for employers.

15 4. Evaluate how an individual coverage health reimbursement
16 arrangement may expand employee choice among health insurance plan options
17 while allowing this state and public school districts to establish a
18 predictable employer contribution and to improve long-term budget
19 stability.

20 5. Compare individual coverage health reimbursement arrangements
21 with other available coverage options to analyze employee choice,
22 affordability, flexibility, state and school district cost predictability,
23 administrative complexity and short-term and long-term fiscal impacts.

24 6. Obtain stakeholder feedback and input from all of the following:

25 (a) Employees.

26 (b) Insurers.

27 (c) Benefits administrators.

28 (d) School districts.

29 (e) Consumer advocates.

30 7. Identify implementation considerations that include all of the
31 following:

32 (a) Administrative requirements.

33 (b) Market impacts.

34 (c) Statutory changes.

35 (d) Budget changes.

36 (e) Regulatory changes, including cost savings.

37 C. On or before January 1, 2027, the department of administration
38 shall submit a report of its findings and recommendations to the governor,
39 the president of the senate, the speaker of the house of representatives,
40 the chairpersons of the health and human services committees in the senate
41 and the house of representatives, the chairperson of the appropriations,
42 transportation and technology committee in the senate and the chairperson

1 of the appropriations committee in the house of representatives and
2 provide a copy of this report to the secretary of state.

3 D. This section does not require the implementation of an
4 individual coverage health reimbursement arrangement or the replacement of
5 an existing health coverage option.

6 E. The department of administration may accept and spend gifts,
7 grants and donations that are provided from public or private sources to
8 conduct or contract with a third-party entity to conduct the study
9 prescribed by this section.

10 F. This section is repealed from and after June 30, 2027.

11 G. For the purposes of this section, "individual coverage health
12 reimbursement arrangement" means a health reimbursement arrangement as
13 prescribed in 45 Code of Federal Regulations section 146.123.]>>

14 Enroll and engross to conform

15 Amend title to conform

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